

rather than past earnings. His fundamental basis of appraisal must be an intelligent and conservative estimate of the future earning power. But his *measure* of future earnings can be conservative only if it is limited by actual performance over a period of time. We have suggested, however, that the profits of the most recent year, taken singly, might be accepted as the gage of future earnings, *if* (1) general business conditions in that year were not exceptionally good, (2) the company has shown an upward trend of earnings for some years past and (3) the investor's study of the industry gives him confidence in its continued growth. In a very exceptional case, the investor may be justified in counting on higher earnings in the future than at any time in the past. This might follow from developments involving a patent or the discovery of new ore in a mine or some similar specific and significant occurrence. But in most instances he will derive the investment value of a common stock from the average earnings of a period between five and ten years. This does not mean that all common stocks with the same average earnings should have the same value. The common-stock investor (*i.e.*, the *conservative* buyer) will properly accord a more liberal valuation to those issues which have current earnings above the average or which may reasonably be considered to possess better than average prospects or an inherently stable earning power. But it is the essence of our viewpoint that some moderate upper limit must *in every case* be placed on the multiplier in order to stay within the bounds of conservative valuation. We would suggest that *about 20 times average earnings* is as high a price as can be paid in an *investment* purchase of a common stock.

Although this rule is of necessity arbitrary in its nature, it is not entirely so. Investment presupposes demonstrable value, and the typical common stock's value can be demonstrated only by means of an established, *i.e.*, an average, earning power. But it is difficult to see how average earnings of *less than 5%* upon the market price could ever be considered as vindicating that price. Clearly such a price-earnings ratio could not provide that *margin of safety* which we have associated with the investor's position. It might be accepted by a purchaser in the expectation that future earnings will be larger than in the past. But in the original and most useful sense of the term such a basis of valuation is *speculative*.² It falls outside the purview of common-stock investment.

² See Appendix Note 57 for a discussion of the relationship between bond-interest rates and the "multiplier" for common stocks.